Tencent Holdings (700 HK)

Buy: Core business margin continues to improve

Equities
Internet Software & Services

China

- Higher AI spending offset by core business margin expansion
- Model development focus on better supporting Tencent's products
- Maintain Buy and trim TP to HKD720 (from HKD750)

Core business margin stays healthy as AI strategy crystalizes: We are encouraged to see Tencent print a strong uptick in operating profit margin (OPM) excluding new AI product spending. We expect gross profit margin (GPM) improvement to continue due to increased self-developed game contribution in the VAS segment; as for FBS, a favourable revenue mix shift in fintech and growing scale of cloud business should help. We keep our group margin assumptions largely unchanged. We expect AI spending in both capex and opex to trend higher versus 1Q26, offsetting margin upside (details below). We are less worried about a shortage in CPU and networking chips, as Tencent has long-term business relationships with suppliers given the scale of its core business. After launching the HY3.0 preview, we expect Tencent to stay focused on improving cost efficiency via co-design process and model capability. Integration of HY into its products offers a valuable feedback loop which can in turn improve its iteration pace to better serve Tencent's products and ecosystem over time. Moreover, both CodeBuddy and WorkBuddy saw strong organic growth and high retention rates – 60%+/80%+ retention rate among active/paying users. Tencent Cloud saw rapid growth in tokens in recent weeks as a result. Lastly, slight miss in games attributable to timing of booking of revenue is not a cause for concern, in our view. In fact, evergreen titles like Honor of Kings, Peacekeeper Elite, and Delta Force all saw record-high gross billings in 1Q26, contributing a teens percentage growth in domestic game gross billings. We expect an uptick in domestic games growth in the rest of 2026.

Lifting AI spending: We lift our 2026e capex from RMB92bn (11% of revenue) to RMB134bn (16% of revenue) as the 1Q26 capex surprised on the upside and management expects capex to increase meaningfully in 2H26 once more domestic chips become available. We also lift 2026e costs and expenses for new AI products (Hy, Yuanbao, CodeBuddy, WorkBuddy, and QClaw) to RMB40bn (from RMB36bn) in 2026e. But we keep total non-IFRS operating profit (OP) largely unchanged as we expect margin expansion from VAS and FBS to largely absorb the incremental spending. That said, we trim non-IFRS net profit (NP) in 2026e-28e by 3% given lower share of profits from JV/associates and interest income arising from higher capex. We trim our TP to HKD720 from HKD750.

1Q26 result: Topline was 2% below consensus, as the later timing of the Chinese New Year led to a shift of a portion of games/item sales revenue out of 1Q26. Excluding this impact, topline would have grown 11% yoy (in line). GP and non-IFRS OP came in largely in line with consensus. Within revenue, international games, domestic games and social network missed by 5%/4%/5% respectively, while marketing services beat by 1%. Tencent repurchased HKD7.6bn shares in 1Q26. In 1Q26, the company incurred RMB32bn capex (16% of revenue), up from RMB20bn (10% of revenue) in 4Q25. It spent RMB8.8bn in new AI products. Excluding that, non-IFRS OP grew 17% yoy.

MAINTAIN BUY

TARGET PRICE (HKD)	PREVIOUS TARGET (HKD)
720.00	**750.00**

SHARE PRICE (HKD)	UPSIDE/DOWNSIDE
462.60	**+55.6%**

(as of 13 May 2026)

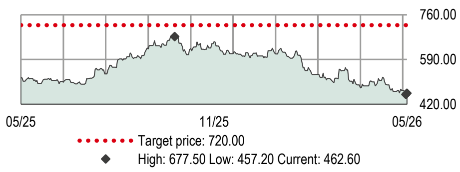
MARKET DATA

Market cap (HKDm)	4,217,984	Free float	67%
Market cap (USDm)	538,781	BBG	700 HK
3m ADTV (USDm)	1,744	RIC	0700.HK

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	28.09	30.62	34.59	38.80
HSBC EPS (prev)	28.09	31.37	35.34	39.81
Change (%)	0.0	-2.4	-2.1	-2.5
Consensus EPS	28.03	30.81	34.35	38.13
PE (x)	14.3	13.1	11.6	10.3
Dividend yield (%)	1.2	1.3	1.4	1.6
EV/EBITDA (x)	12.6	10.9	9.4	8.2
ROE (%)	24.4	22.5	21.9	21.3

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

Charlene Liu*
Head of Internet and Gaming Research, Asia Pacific
The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch
charlene.r.liu@hsbc.com.sg
+65 6658 0615

Ritchie Sun*, CFA
Analyst, Internet Research
The Hongkong and Shanghai Banking Corporation Limited
ritchie.k.h.sun@hsbc.com.hk
+852 2822 4392

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Financials & valuation: Tencent Holdings

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	751,766	836,139	905,308	962,314
EBITDA	310,767	348,404	394,948	438,838
Depreciation & amortisation	-66,028	-78,971	-85,237	-89,641
Operating profit/EBIT	244,739	269,433	309,711	349,197
Net interest	1,779	2,547	2,754	5,037
PBT	277,249	290,281	329,191	372,509
HSBC PBT	312,033	335,200	377,310	422,235
Taxation	-47,448	-48,662	-55,083	-62,285
Net profit	224,842	236,423	268,912	305,029
HSBC net profit	259,626	281,342	317,031	354,755
Cash flow summary (CNYm)				
Cash flow from operations	303,052	322,129	362,959	400,669
Capex	-112,723	-167,228	-185,588	-199,199
Cash flow from investment	-205,732	-149,391	-167,437	-179,117
Dividends	-39,907	-41,669	-45,510	-51,764
Change in net debt	40,596	-105,108	-98,089	-117,865
FCF equity	190,329	154,901	177,371	201,470
Balance sheet summary (CNYm)				
Intangible fixed assets	228,338	226,871	226,188	226,424
Tangible fixed assets	1,073,034	1,180,610	1,299,174	1,427,576
Current assets	620,000	730,605	833,984	957,777
Cash & others	141,041	235,424	323,456	431,918
Total assets	2,038,986	2,255,700	2,476,961	2,729,391
Operating liabilities	388,504	416,452	443,490	469,443
Gross debt	387,733	377,008	366,951	357,548
Net debt	246,692	141,584	43,495	-74,370
Shareholders' funds	1,154,152	1,348,447	1,547,531	1,778,215
Invested capital	1,391,827	1,486,210	1,592,401	1,710,416

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	13.9	11.2	8.3	6.3
EBITDA	21.2	12.1	13.4	11.1
Operating profit	22.3	10.1	14.9	12.7
PBT	14.8	4.7	13.4	13.2
HSBC EPS	18.6	9.0	13.0	12.2
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.6	0.6
ROIC	18.1	17.6	18.7	19.5
ROE	24.4	22.5	21.9	21.3
ROA	12.0	11.3	11.6	11.9
EBITDA margin	41.3	41.7	43.6	45.6
Operating profit margin	32.6	32.2	34.2	36.3
EBITDA/net interest (x)				
Net debt/equity	19.9	9.8	2.6	-4.0
Net debt/EBITDA (x)	0.8	0.4	0.1	-0.2
CF from operations/net debt	122.8	227.5	834.5	
Per share data (CNY)				
EPS Rep (diluted)	24.32	25.73	29.34	33.36
HSBC EPS (diluted)	28.09	30.62	34.59	38.80
DPS	4.76	5.04	5.74	6.51
Book value	124.85	146.75	168.84	194.50

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.2	4.5	4.1	3.7
EV/EBITDA	12.6	10.9	9.4	8.2
EV/IC	2.8	2.6	2.3	2.1
PE*	14.3	13.1	11.6	10.3
PB	3.2	2.7	2.4	2.1
FCF yield (%)	5.2	4.2	4.8	5.5
Dividend yield (%)	1.2	1.3	1.4	1.6

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a
GHG emission intensity*	57.0
Energy intensity*	83.3
CO_2 reduction policy	Yes
Social Indicators	**12/2025a**
Employee costs as % of revenues	17.4
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	8
Average board tenure (years)	16.0
Female board members (%)	25
Board members independence (%)	62.5

Source: Company data, HSBC

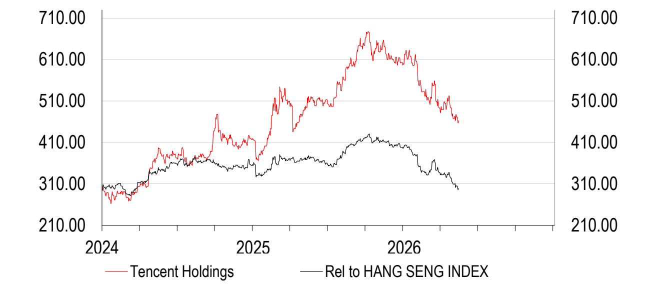
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	462.60
Target price (HKD)	720.00
RIC (Equity)	0700.HK
Bloomberg (Equity)	700 HK
Market cap (USDm)	538,781

Free float	67%
Sector	Internet Software & Services
Country/Region	China
Analyst	Charlene Liu
Contact	+65 6658 0615

Price relative



Source: HSBC

Note: Priced at close of 13 May 2026

1Q26 result highlights

Exhibit 1: Topline miss, but bottom-line in line

Reported vs estimates RMBm, unless otherwise specified	1Q26 Actual	1Q26 HSBCe	+/- %	1Q26 Consensus	+/- %
Revenue:					
1. VAS	96,110	99,974	-4%	100,698	-5%
YoY	4%	9%		9%	
1.1 Online game	64,210	65,649	-2%	66,997	-4%
YoY	8%	10%		13%	
1.1.1 Domestic games	45,400	46,637	-3%	47,628	-5%
YoY	6%	9%		11%	
1.1.2 International games	18,810	19,011	-1%	19,516	-4%
YoY	13%	14%		17%	
1.2 Social network	31,900	34,325	-7%	33,610	-5%
YoY	-2%	5%		3%	
2. Marketing services	38,171	37,795	1%	37,660	1%
YoY	20%	19%		18%	
3. Fintech and Business services	59,885	60,005	0%	59,740	0%
YoY	9%	9%		9%	
4. Others	2,292	1,152	99%	1,351	70%
YoY	103%	2%		20%	
Total revenue	**196,458**	**198,925**	**-1%**	**199,464**	**-2%**
YoY	**9%**	**11%**		**11%**	
GPM:					
1. VAS	63%	60%	3ppt	61%	2ppt
2. Marketing services	55%	57%	-2ppt	57%	-2ppt
3. Fintech and Business services	52%	47%	5ppt	50%	2ppt
4. Others	-45%	-30%	-15ppt	9%	-54ppt
Total GPM	57%	55%	2ppt	56%	0ppt
Non-IFRS operating profit	**75,627**	**73,885**	**2%**	**74,753**	**1%**
YoY	**9%**	**7%**		**8%**	
Non-IFRS OPM	38%	37%	1ppt	37%	1ppt
Non-IFRS net income	**67,905**	**66,466**	**2%**	**67,782**	**0%**
YoY	**11%**	**8%**		**11%**	
Non-IFRS NM	35%	33%	1ppt	34%	1ppt

Source: Visible Alpha, company data, HSBC estimates

1Q26 topline was 2% below consensus, given 5% miss from VAS (related to later timing of Chinese New Year leading to a shift of a portion of games/item sales revenue out of 1Q26).

Excluding this impact, topline would have grown by 11% yoy (in line). GP and non-IFRS OP came in largely in line with consensus. Within revenue, international games, domestic games and social network missed by 5%/4%/5% respectively, while marketing services beat by 1%. Non-IFRS excluding new AI products came in at RMB84.4bn, up by 17% yoy. Non-IFRS OPM excluding new AI products increased to 43.0% from 39.9% last year. It spent RMB8.8bn in new AI products (HY, Yuanbao, CodeBuddy, WorkBuddy, Qclaw) in 1Q26. Tencent repurchased HKD7.6bn shares in 1Q26. In 1Q26, the company incurred RMB32bn capex (16% of revenue), up from RMB20bn (10% of revenue) in 4Q25. In March 2026, Tencent's total headcount grew by 5% yoy (same rate as in December 2025).

Domestic games

Revenue grew by 6% (consensus: +11%) and the growth rate is slower than gross billings (GB) (up teens percentage rate yoy). The gap is due to the later timing of Chinese New Year in 2026 versus 2025, which shifted a portion of revenue recognition out of 1Q26. The teens percentage growth in GB is driven by Honor of Kings (HoK), Peacekeeper Elite (PKE), Delta Force (now qualified as evergreen game), and Valorant mobile. HoK, PKE and Delta Force have achieved record-high GB in 1Q26. PKE grew GB by over 30% yoy in 1Q26, with peak DAU hitting an all-time high at 90m. Newly launched Roco Kingdom: World has sustained over 13m average DAU in PC and mobile in its first month.

International games
Revenue grew by 13% yoy (consensus: +17%), driven by growth of Clash Royale, Wuthering Waves and Valorant PC. PUBG Mobile, Wuthering Waves and League of Legends all saw GB growth in 1Q26.

Social network
Revenue fell by 2% yoy (consensus: +3%), as the later timing of Chinese New Year resulted in less revenue recognition for domestic app-based game item sales in 1Q26 versus the 1Q25. Long video subscription revenue fell by 2% yoy due to fewer releases of drama series.

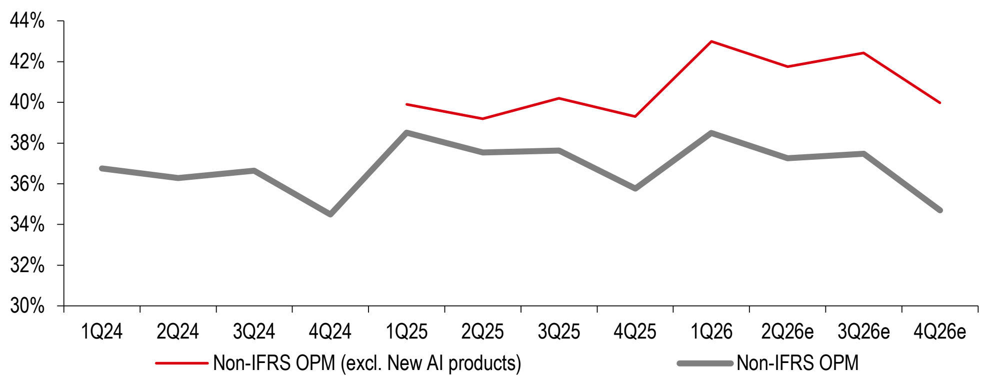
Marketing services
Revenue grew by 20% yoy (consensus: 18%). Enhancements to AI-powered ad recommendation and expansion of closed-loop marketing capabilities within the Weixin ecosystem boosted ad performance and pricing. In 1Q26, automated campaign management solution (AIM+) powered c30% of total marketing services spending from advertisers. Video Account total time spent rose by over 20% yoy in 1Q26, with growing ad impressions back by higher time spent, ad load (4-5%) and video views. Ad spend across most verticals grew yoy, in particular internet services, e-commerce and games. Total query volume for Weixin search grew over 25% yoy. Mobile ad network saw revenue uptick yoy too.

Fintech and business services (FBS)
Revenue grew 9% yoy (in line).

- FinTech revenue grew yoy, driven by commercial payment and wealth management. Commercial payment volume growth has accelerated thanks to increasing number of transactions and higher value per transaction in categories like retail and dining.
- Business services revenue grew by 20% yoy, driven by:
  - AI-related demand across GPU, CPU and storage in Tencent Cloud
  - Tencent international cloud revenue (up by more than 40% yoy), given expanding footprint to 65 availability zones and rising demand for PaaS solutions
  - Higher eCommerce technology service fees from Mini Shops GMV growth

Margins were in line
A favourable mix shift to high-margin self-developed games supported VAS GPM expansion. Ads GPM fell yoy, due to higher AI-related depreciation and costs. GPM for FBS expanded yoy, due to growing scale of cloud business and improving revenue mix within Fintech, partially offset by higher AI-related depreciation and costs.

Exhibit 2: Excluding spending in new AI products, core business margin is expanding



Source: Company data, HSBC estimates

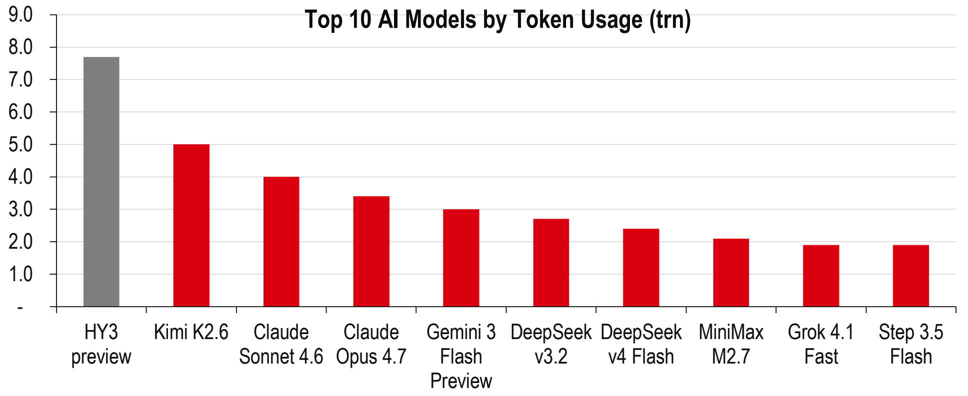
Exhibit 3: Key forecasts

	1Q26	2025	2026e	2027e	2028e
Revenue (y-o-y):					
1. Value-added services	4%	16%	10%	7%	4%
1.1) Social network	-2%	5%	5%	6%	4%
1.2) Domestic games	6%	18%	14%	7%	3%
1.3) International games	13%	33%	11%	9%	8%
2. Marketing services	20%	19%	18%	14%	13%
3. Fintech and business services (FBS)	9%	8%	8%	7%	5%
Total revenue	9%	14%	11%	8%	6%
Revenue mix (%):					
1. VAS	49%	49%	49%	48%	47%
1.1) Social network	16%	17%	16%	16%	15%
1.2) Domestic games	23%	22%	22%	22%	21%
1.3) International games	10%	10%	10%	10%	10%
2. Marketing services	19%	19%	20%	22%	23%
3. Fintech and business services (FBS)	30%	31%	30%	29%	29%
GPM:	57%	56%	58%	59%	61%
1. VAS	63%	60%	63%	65%	66%
2. Marketing services	55%	58%	57%	57%	58%
3. Fintech and business services	52%	51%	53%	55%	57%
GP (y-o-y)	11%	21%	14%	12%	9%
Non-IRFS OP (y-o-y)	9%	18%	10%	13%	12%
Non-IRFS net profit (y-o-y)	11%	17%	8%	13%	12%
Non-IRFS EPS (y-o-y)	17%	22%	14%	13%	12%

Source: Company data, HSBC estimates

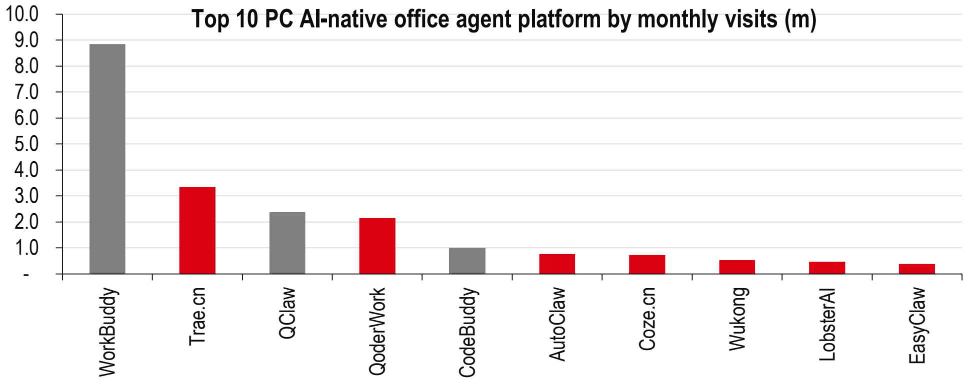
AI tracking

Exhibit 4: HY3 preview topped OpenRouter token usage ranking



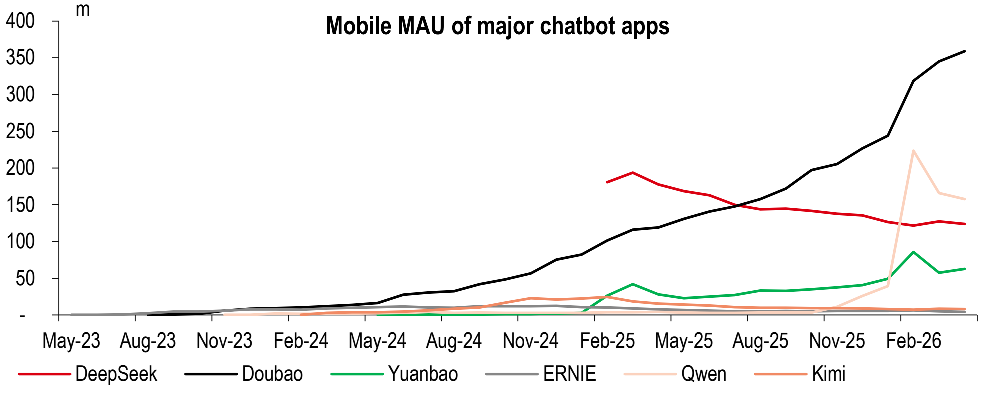
Source: OpenRouter. Note: cumulative token usage (sum of prompt and completion tokens) from 23 April to 12 May 2026

Exhibit 5: Workbuddy is leading the AI-native office agent market in PC



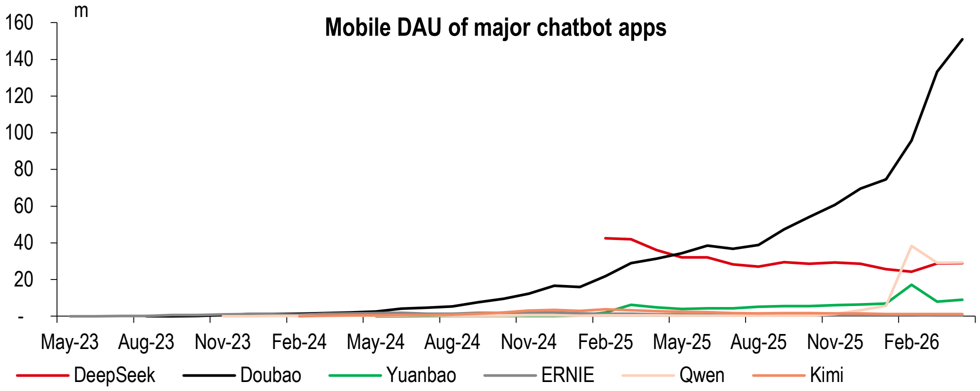
Source: Analysys. Note: Data is as of March 2026 and only counts desktop applications

Exhibit 6: Yuanbao app MAU has stabilized



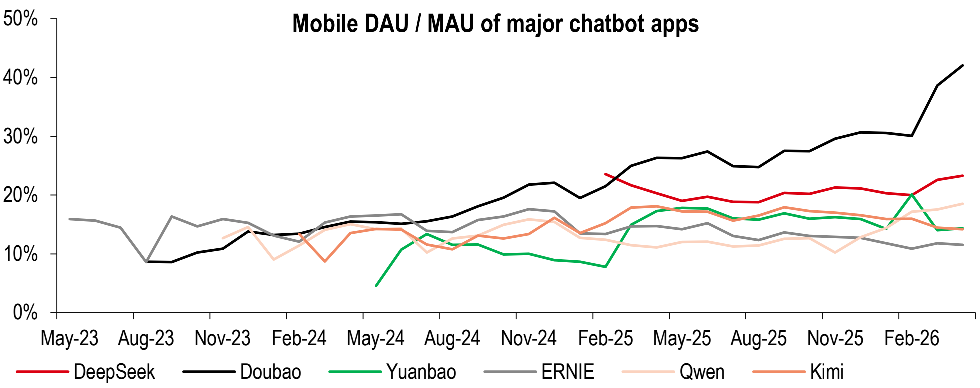
Source: Questmobile

Exhibit 7: Yuanbao app DAU has stabilized



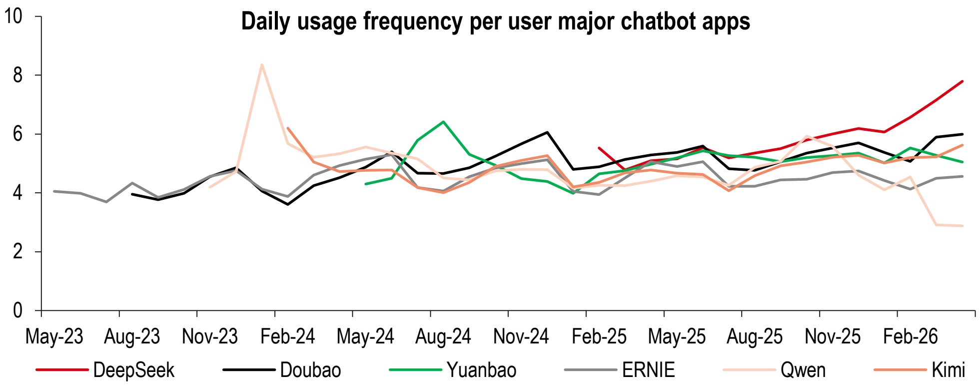
Source: Questmobile

Exhibit 8: Yuanbao app's DAU/MAU ratio has stabilized



Source: Questmobile

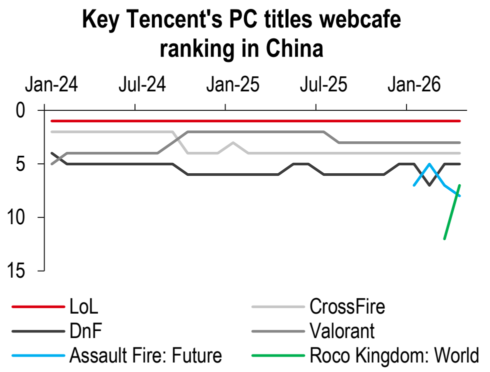
Exhibit 9: Yuanbao app's usage frequency per user stabilized



Source: Questmobile

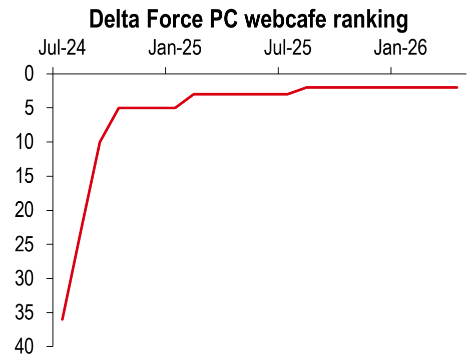
Games tracking

Exhibit 10: Popularity ranking of Tencent's key PC titles in China remains stable



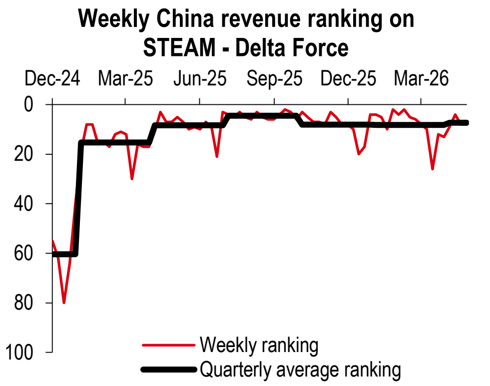
Source: Shunwang

Exhibit 11: Delta Force PC ranks No. 2 in popularity ranking in web cafes in China



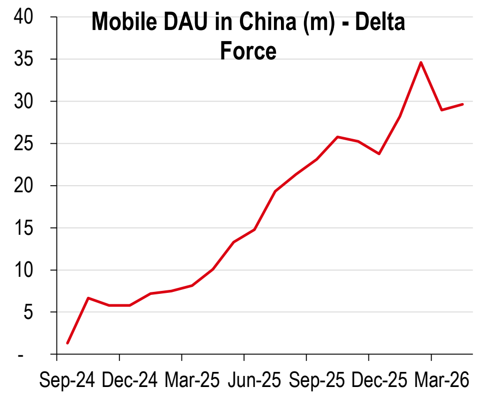
Source: Shunwang

Exhibit 12: Delta Force PC revenue ranking in China stayed at a high level



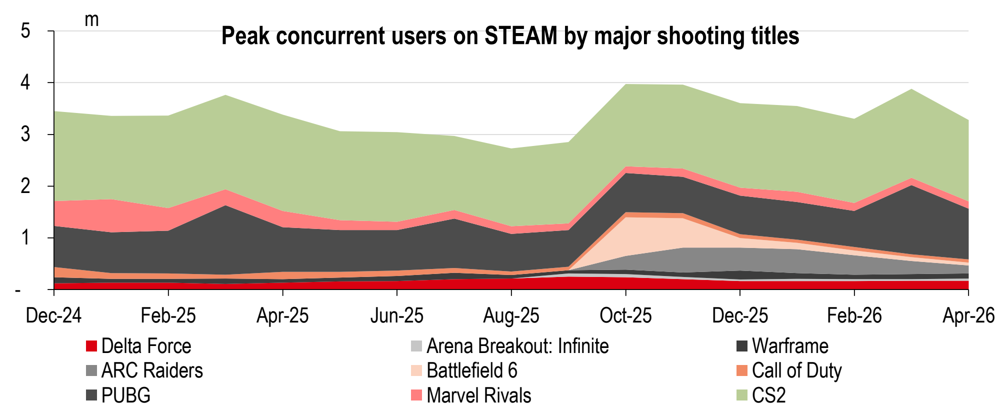
Source: STEAM, HSBC

Exhibit 13: Delta Force mobile DAU has pulled back



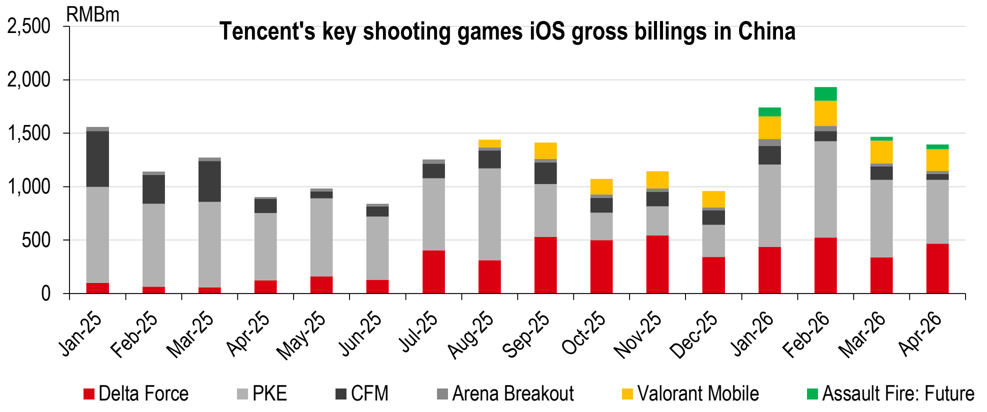
Source: Questmobile

Exhibit 14: Combined STEAM PCU of major shooting games was down 3% y-o-y in Apr



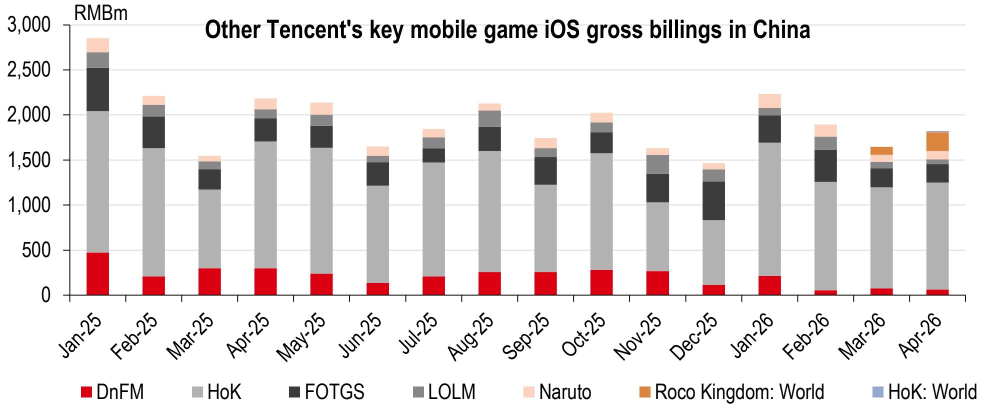
Source: STEAM

Exhibit 15: The combined shooting games' iOS grossing in China grew y-o-y in Apr 2026, driven by contribution from Valorant Mobile and Assault Fire: Future, strong growth from Delta Force and Arena Breakout, offsetting decline from CFM



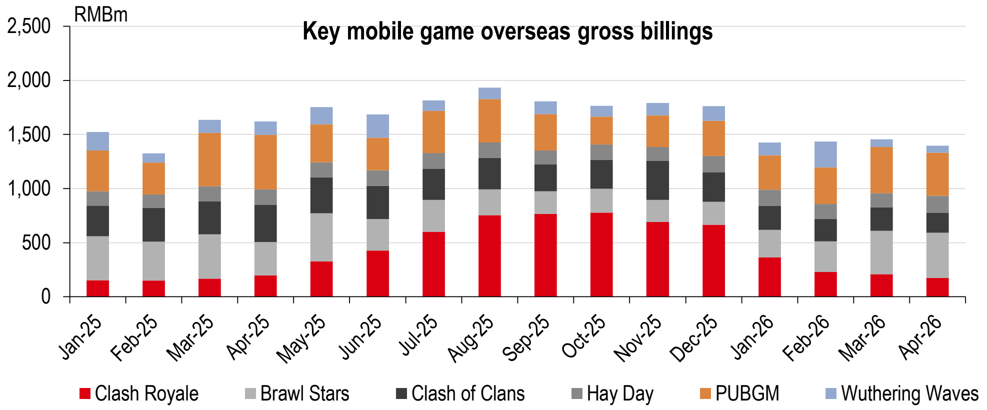
Source: Sensortower, Bloomberg

Exhibit 16: The combined iOS grossing from other key titles in China declined y-o-y in Apr 2026 given declines from DnFM, HoK, LoLM, Naruto and Fight of the Golden Spatula



Source: Sensortower, Bloomberg

Exhibit 17: The combined key overseas mobile game grossing declined y-o-y in Apr 2026, given declines from Clash of Clansm, PUBG, Wuthering Waves and Clash Royale



Source: Sensortower, Bloomberg

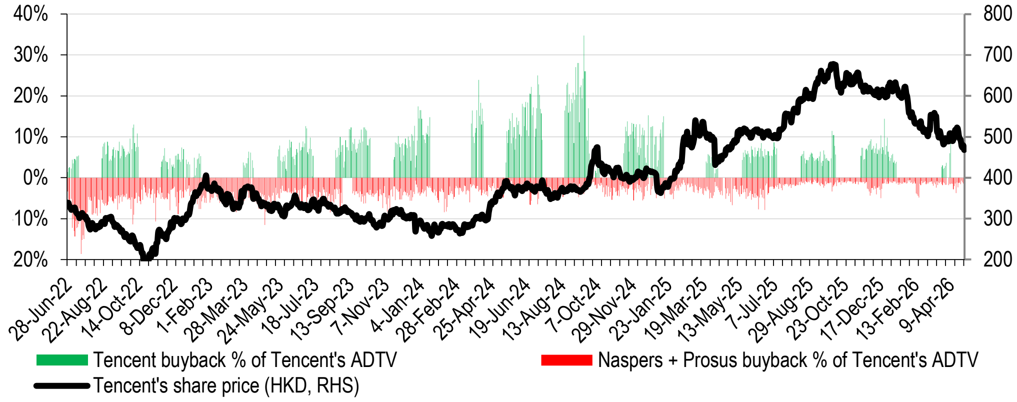
Exhibit 18: Key domestic game pipeline

Game Title	Game Title (Chinese)	Progress	Genre	Licence approval date
Chaos Zero Nightmare	卡厄思梦境	5/28/2026	RPG	Aug-25
Lineage II	天堂 2：盟约	Jun-26	MMORPG	Oct-24
Evolution	失控进化	Jul-26	SOC	Oct-23
Animula Nook	粒粒的小人国	First testing done on Mar-26	Simulation	Mar-26
Monster Hunter Outlanders	怪物猎人：旅人	Second testing on Apr-26	Action	Dec-24
CF: H	穿越火线：虹	Pipeline	FPS	Jun-25
Rules of Engagement: The Grey State	灰境行者	Pipeline	FPS	Aug-25
HoK Chess	王者万象棋	Final testing on end-Mar-26	Casual	Feb-23
Fate Trigger: The Novita	命运扳机	Testing done on Mar-26	Shooting	Apr-25
Just Dance	舞力全开：派对	Second testing done on Apr-26	Dancing	Jun-23
Huanlexiaoxiaoshiguang	欢乐消消时光	Second testing on Feb-26	Casual	Jun-25
Xiuxianshidai	修仙时代	Testing on Dec-25	Adventure	Jun-24
The Hidden Ones	异人之下	Testing registration open	ARPG	Aug-24
World of Zhetian	遮天世界	Third testing on Jan-26	SLG	Jan-23
Chasing Kaleidorider	追逐卡蕾多	Testing registration open	RPG	No
Interstellar Utopia	星际理想国	Testing registration open	Open-world sandbox MMORPG	Nov-25
Guardians of the Dafeng	大奉打更人	Testing registration open	MMOARPG	Feb-24
Don't Starve: Newhome	饥困荒野	Testing registration open	Survival	Dec-22
Project: Noah's Ark	归环	First testing done on May-26	RPG	Sep-25
Virtual Circle	虚环	Testing registration open	Card	No
Bringer	凡应	First testing on Nov-25	Action Adventure	No
Sword Snow Stride	雪中悍刀行	Pipeline	Action	Mar-25
Jianlai	剑来	Pipeline	ARPG	No
ARC Raiders	弧光猎人	Pipeline	Shooting	Apr-26
n.a.	湮灭之潮	Pipeline	Action	No
Squad	战术小队：破晓攻势	Pipeline	FPS	Jun-25
Project: OO	n.a.	First testing on Jan-26	RPG	No
Project: Tianming	代号：天命	First testing on Apr-26	SLG	No
Heroes of Might and Magic	魔法门之英雄无敌：领主争霸	Testing registration open	SLG	Sep-23
New Three Kingdom	新三国：荣耀再起	Testing registration open	SLG	Oct-25
Handmade Planet	手工星球	Testing registration open	Sandbox	Nov-20
Aoxingrelang	奥星热浪	Testing registration open	Party	No
Mo.co	魔刻猎手	Testing registration open	ARPG	Dec-25
n.a.	秘境刀仔	Pipeline	n.a.	May-25
n.a.	天堂：血统	Pipeline	n.a.	Jun-25
n.a.	叠战英雄	Pipeline	n.a.	Mar-25
n.a.	无境撤离	Pipeline	n.a.	Nov-25
n.a.	洛克王国：精灵牌	Pipeline	Card	Apr-26

Source: Company data, National Press and Publication Administration

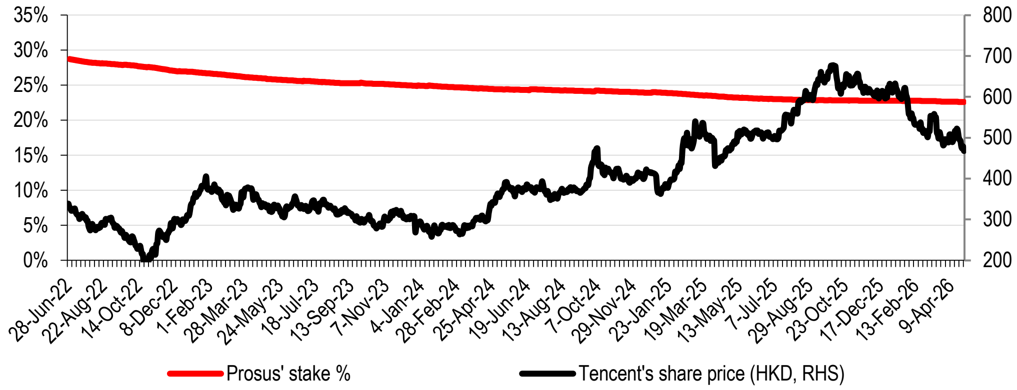
Shareholder returns

Exhibit 19: Tencent has stepped up daily buyback to HKD1bn/day recently



Source: Company data, Bloomberg

Exhibit 20: Prosus's stake decline pace on Tencent has slowed down recently



Source: Company data, HKEX, Bloomberg, HSBC estimates

Exhibit 21: Estimate changes

	2026e	2027e	2028e
New			
Sales	836,139	905,308	962,314
YoY	11%	8%	6%
GP	481,616	537,090	584,585
YoY	14%	12%	9%
Non-IFRS OP	308,776	350,344	391,938
YoY	10%	13%	12%
NI	236,423	268,912	305,029
YoY	5%	14%	13%
Non-IFRS Net income	281,342	317,031	354,755
YoY	8%	13%	12%
Previous			
Sales	835,804	904,751	963,003
YoY	11%	8%	6%
GP	481,393	535,068	584,940
YoY	14%	11%	9%
Non-IFRS OP	308,478	349,623	393,359
YoY	10%	13%	13%
NI	243,254	277,218	316,329
YoY	8%	14%	14%
Non-IFRS Net income	289,674	326,020	366,888
YoY	12%	13%	13%
% changes			
Sales	0%	0%	0%
GP	0%	0%	0%
Non-IFRS OP	0%	0%	0%
NI	-3%	-3%	-4%
Non-IFRS Net income	-3%	-3%	-3%

Source: HSBC estimates. Note: OP numbers are different from those on F&V on page 2 as they exclude other gains, which could be one-off; non-IFRS net income excludes SBC and one-off items

Valuation and risks

Tencent 700 HK

Buy

Current price: **HKD462.60**

Target price: **HKD720.00**

Up/downside: **+55.6%**

Valuation

Methodology: DCF

Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. Terminal growth rate of 3.5%. Our inputs remain unchanged.

We derive a TP of HKD720 (from HKD750), which implies 55.6% upside; we therefore maintain our Buy rating. We see solid fundamentals in games and ads.

RMB counter: For the RMB counter (80700 HK, RMB401.60), our TP of RMB647.00 (from RMB674.00) is converted from our H-share target price based on the HSBC FX team's RMB-HKD assumption of 1.16 at end-2026e.

Risks to our view

Downside risks:

- Inability to get monetisation approval for games
- Regulatory headwinds for games and internet finance
- A deeper macro slowdown that could affect advertisers' budgets
- Inappropriate advertising and video content
- Changes in user preferences in terms of entertainment formats or communications
- Overhang from major shareholders' reduction of stake over time
- Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock
- Higher-than-expected AI investment intensity and/or weaker monetisation/ROI could pressure margins and cash flow

Priced at 13 May 2026
Source: HSBC estimates

Disclosure appendix

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

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Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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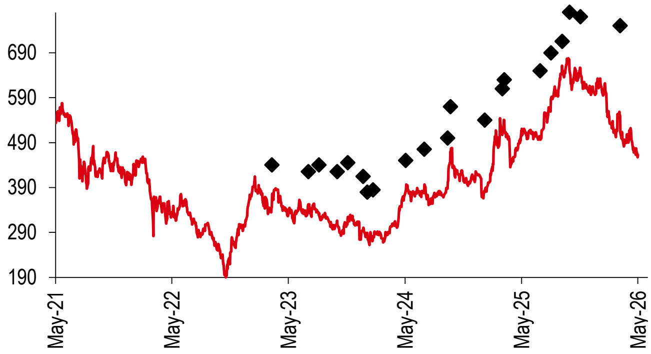
Share price and rating changes for long-term investment opportunities

Tencent Holdings (0700.HK) share price performance HKD Vs HSBC rating history



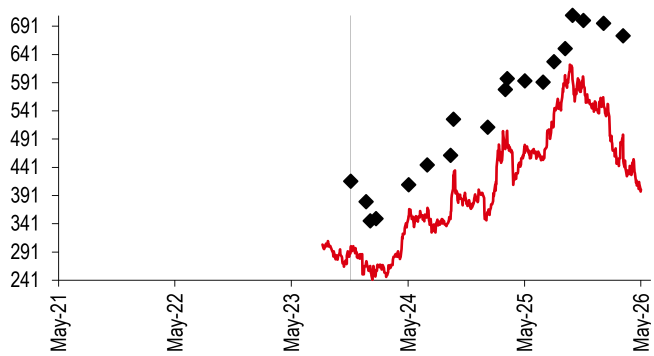
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	30 Jan 2019	Binnie Wong
Target price	**Value**	**Date**	**Analyst**
Price 1	440.00	22 Mar 2023	Charlene Liu
Price 2	425.00	14 Jul 2023	Charlene Liu
Price 3	440.00	16 Aug 2023	Charlene Liu
Price 4	425.00	12 Oct 2023	Charlene Liu
Price 5	445.00	15 Nov 2023	Charlene Liu
Price 6	415.00	02 Jan 2024	Charlene Liu
Price 7	380.00	15 Jan 2024	Charlene Liu
Price 8	385.00	02 Feb 2024	Charlene Liu
Price 9	450.00	14 May 2024	Charlene Liu
Price 10	475.00	11 Jul 2024	Charlene Liu
Price 11	500.00	23 Sep 2024	Charlene Liu
Price 12	570.00	02 Oct 2024	Charlene Liu
Price 13	540.00	17 Jan 2025	Charlene Liu
Price 14	610.00	13 Mar 2025	Charlene Liu
Price 15	630.00	19 Mar 2025	Charlene Liu
Price 16	650.00	10 Jul 2025	Charlene Liu
Price 17	690.00	13 Aug 2025	Charlene Liu
Price 18	715.00	17 Sep 2025	Charlene Liu
Price 19	780.00	10 Oct 2025	Charlene Liu
Price 20	770.00	13 Nov 2025	Charlene Liu
Price 21	750.00	18 Mar 2026	Charlene Liu

Source: HSBC

Tencent Holdings (80700.HK) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Nov 2023	Charlene Liu

Target price	Value	Date	Analyst
Price 1	416.00	15 Nov 2023	Charlene Liu
Price 2	380.00	02 Jan 2024	Charlene Liu
Price 3	346.00	15 Jan 2024	Charlene Liu
Price 4	350.00	02 Feb 2024	Charlene Liu
Price 5	410.00	14 May 2024	Charlene Liu
Price 6	445.00	11 Jul 2024	Charlene Liu
Price 7	462.00	23 Sep 2024	Charlene Liu
Price 8	526.00	02 Oct 2024	Charlene Liu
Price 9	512.00	17 Jan 2025	Charlene Liu
Price 10	579.00	13 Mar 2025	Charlene Liu
Price 11	598.00	19 Mar 2025	Charlene Liu
Price 12	594.00	14 May 2025	Charlene Liu
Price 13	592.00	10 Jul 2025	Charlene Liu
Price 14	628.00	13 Aug 2025	Charlene Liu
Price 15	651.00	17 Sep 2025	Charlene Liu
Price 16	710.00	10 Oct 2025	Charlene Liu
Price 17	701.00	13 Nov 2025	Charlene Liu
Price 18	696.00	15 Jan 2026	Charlene Liu
Price 19	674.00	18 Mar 2026	Charlene Liu

Source: HSBC

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Source: HSBC

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